

7235.T pitch deck

IBKR reads were denied to me too, so the book-state and cluster-exposure gaps stay open exactly as both benches left them. Deck below.

PITCH — 7235.T — VERDICT

ADJUDICATED — OWNABLE — conviction 8.5/10: the dated special-situation story is dead and fabricated, but what's underneath it is a debt-free, cash-heavy Japanese radiator maker trading at roughly one and a half times the value of one year's operating profit, and that is ownable on its own merits at slow-compounder size.

What we believe

Tokyo Radiator makes heat exchangers — radiators, oil coolers, intercoolers — mostly for trucks and construction machinery, mostly for Isuzu and Nissan, mostly in Japan. It has been listed since 1961.

Strip out the story and here is the arithmetic, all of it from the company's own quarterly report filed 2026-08-07:

- 9,521,383 shares actually outstanding (10,400,000 issued minus 878,617 held in treasury). At ¥1,581 that is a **¥15.05 billion company** — about \$100 million.
- It holds **¥9.35 billion of cash and deposits** and **¥2.08 billion of investment securities**. That is ¥11.43 billion, or **¥1,200 per share**, against a ¥1,581 share price.
- It has **no interest-bearing debt at all**. Equity is 73.1% of the balance sheet.
- So the market is paying roughly **¥3.6 billion** for the actual operating business, which the company guides to earn **¥2.45 billion of operating profit this year**. Even after haircutting the securities 30% for the tax you'd owe on selling them, that is **1.5 to 1.7 times one year's operating profit**.
- Book value is ¥2,577 per share, so the stock trades at **0.61 times book**. Net current assets alone are roughly ¥1,520 per share — the stock is at **1.04 times liquidation-ish value**.
- The dividend was just **raised 18.5%, from ¥65 to ¥77**, a **4.87% yield**, and that is only 41% of earnings.

We also believe the business is quietly fine, which is the part our own red bench got wrong. The headline looks bad — first-quarter operating profit down 3.5%, net income down 14.4%, and full-year net income guided down 11.7%. But the quarter it is being compared against was up 81.6%, and on a two-year stack operating profit went from ¥401 million to ¥703 million, up 75%. Japan segment profit was **up 21.5%**. Asia was **up 10.5% on 24.9% revenue growth**. The entire ¥26 million decline came from China, and China's profit is now down to ¥82 million — about 12% of total segment profit, so there isn't much left to

lose. And critically: **the company guides operating profit UP 3.9% this year**. The -11.7% is the net line, distorted by last year's unusually favorable below-the-line items.

Finally, the thing neither the original write-up nor the red bench noticed and which we think is the most important fact about this company: **between April 2024 and March 2026, it cancelled 4,000,000 shares — 27.8% of everything issued**. Management has been buying back and destroying more than a quarter of the company while paying a rising dividend, and it still has ¥9.35 billion of cash and 878,617 shares sitting in treasury.

What the market believes

Honestly, the market may not believe anything in particular, because almost nobody is looking. There is no meaningful analyst coverage on a \$100 million Japanese parts supplier. We cannot say “this is priced in” because there is no visible price-setting opinion to point at.

What we can read from the tape: at ¥1,581 the stock is **14.1% below its 52-week high of ¥1,840** but **37.2% above its 52-week low of ¥1,152**. That is not a dislocated, panicked stock. Someone has already re-rated it meaningfully off the lows. The market appears to believe this is an ordinary, slightly-below-average Japanese small-cap industrial: cheap on paper, permanently so, because the cash belongs to management rather than to shareholders and the customers (Isuzu, Nissan) are not growth stories.

To the extent there's a bear view, it's the standard Japanese value-trap view: 0.6x book is normal for this cohort and has been for twenty years; the cash never comes out; the discount never closes; you collect 4.87% and wait forever. That's a serious argument, not a strawman.

Why we might have edge

- 1. The share cancellation is invisible on a screen.** Any data vendor showing “Marelli owns 8.01%” and “Marelli owns 12.11%” makes it look like Marelli bought more shares. It didn't — its holding has been frozen at 1,153,200 shares since April 2024. The percentage rose because *the company shrank the denominator*, from 14,400,000 issued shares to 10,400,000. You only see this by reconciling two separate primary filings against each other. Our blue bench did that; our red bench did not; a screen never will.
- 2. The base-effect read on the quarter.** The reported numbers say “deteriorating.” The segment detail and the guidance say “Japan and Asia are growing, China is nearly finished shrinking, operating profit is guided up.” Anyone reading only the headline — including our own first-pass bench — grades this as a declining business.
- 3. No coverage means no anchor.** With no sell-side estimate to converge to, there's no consensus for the price to be efficient against. That cuts both ways, and it's a weaker form of edge than we'd like, but it's real.
- 4. The overhang is probably misread in the other direction.** The remaining Marelli block is 1,153,200 shares, ¥1.82 billion, about 12% of the company. The obvious fear is that a bankrupt

parent dumps it. But this issuer has already demonstrated the capacity to absorb **3.5 times that size** — it cancelled 4 million shares — and it is sitting on ¥9.35 billion of cash. The likelier absorber of the residual block is the company itself.

Why it might be priced in

We should be straight about the weaknesses, because there are several and one of them is structural.

- **We have no catalyst and no date.** This is the biggest concession. The original write-up's entire reason to act now was fabricated (see the table). There is no scheduled event that forces the discount to close. A cheap thing with no catalyst can stay cheap for a decade, and Japanese small-cap industrials have a long history of doing exactly that.
- **The stock is up 37% from its low.** Whatever re-rating was available for free has partly happened. We are not buying a crash.
- **The cash may not be ours.** ¥9.35 billion is only worth ¥9.35 billion if it eventually reaches shareholders. Buybacks and a rising dividend are strong evidence that it will — but that's evidence, not a claim on the asset.
- **Customer concentration.** Isuzu and Nissan drive this business. Nissan is not in good shape. We have no independent verification of order books because the US customs rail we normally use returned zero — the entire relationship is domestic-Japan and invisible to US shipping records. That is a **coverage gap, not a clean bill**.
- **Single site.** The main plant is in Fujisawa, Kanagawa — coastal, seismic, ¥6.75 billion of book value, 492 employees, and it carries the Japan segment that is 84% of revenue and all of the profit growth. We could not assess this hazard because our hazard tool is US-only.
- **Liquidity.** At ¥15 billion of market value, we cannot build or exit a large position quickly. Any position here is size-capped by the tape, not by conviction.

What we checked ourselves

Claim	How checked	Found	Confirmed?
"Marelli must dispose of its ~40% stake" (original write-up)	EDINET large-shareholding filing chronology	40.07% fell to 14.26% on 2023-02-16 , then 11.13%, then 1,153,200 shares as of 2024-04-03. Today 12.11%. The disposal happened two to three years ago, <i>before</i> the bankruptcy. Number was scraped from an activist campaign page that was never updated.	NO — fabricated. The catalyst was three years stale.
"¥17.2 billion of cash, so negative enterprise value"	Primary quarterly report balance sheet, 2026-06-30	Cash and deposits are ¥9,348,872 thousand . The ¥17.2B figure was cash + receivables + electronically recorded receivables added together and mislabeled as cash.	NO — overstated 84%.
"Japanese civil rehabilitation	Marelli press release, restructuring counsel, claims-agent docket	It is a US Chapter 11 in Delaware, filed 2025-06-11 — wrong country, wrong statute. Exclusivity expired 2026-	NO on forum. Date UNSOURCED.

Claim	How checked	Found	Confirmed?
proceeding, final plan hearing 2026-10-16”		02-06; solicitation 2026-04-07; emergence expected “in 2026” under lender ownership.	
“P/B 0.45x”	Equity ¥24,539M ÷ 9,521,383 shares	BPS ¥2,577.1 → 0.613x , not 0.45x.	NO — off by 36%.
“4.87% dividend yield”	¥77 forecast ÷ ¥1,581	4.87%, payout 40.6%, and the dividend was <i>raised</i> from ¥65.	YES — the one original number that held.
OUR RED BENCH: “enterprise value is + ¥5.70 billion”	Same balance sheet red itself cited	Red subtracted cash but omitted the ¥2,081M of investment securities it had quoted two lines earlier. True EV is ¥3,623M — red overstated it by 57% and understated how cheap the stock is.	BENCH ERROR — corrected.
OUR RED BENCH: “earnings deteriorating, company guides down 11.7%”	Quarterly report pages 1–2, segment detail	Red graded an operating business off a non-operating number against a comparison quarter that was up 81.6%. Operating profit is guided UP 3.9% . Japan +21.5%, Asia +10.5%. This is the exact error red prosecuted the original deck for — a load-bearing number used without checking its base.	BENCH ERROR — overturned.
OUR RED BENCH: “no buyback exists to absorb the block”	Share-count reconciliation across two primaries	Issued shares went 14,400,000 → 10,400,000: 4,000,000 cancelled, 27.8% of the company — 3.5x the size of the remaining Marelli block. Red listed “a buyback sized to absorb the block” as the thing that would change its mind, without checking whether it had already happened. It had.	BENCH ERROR — refuted.
OUR RED BENCH: “8.01% then 12.11%”	Denominator check	Printed as one declining-then-rising series. They are different denominators — 8.01% of 14,400,000 and 12.11% of 9,521,383 are the same 1,153,200 shares. Red’s chronology was internally unreconciled.	BENCH ERROR — arithmetic.
OUR RED BENCH: “disclosure statement hearing 2026-09-08”	Delaware docket, claims agent	Blue could not source it either. Red substituted its own unsourced date while convicting the original deck of using an unsourced date. The correct finding is “no date certain exists,” not “the date is 9/8.”	BENCH ERROR — same defect, opposite direction.
OUR BLUE BENCH: “the issuer was the absorber of the Marelli block”	Reconciliation only	The 4.0M cancellation is confirmed. Who sold into it is not. Blue flagged this itself. Plausible, unproven.	PARTIAL — direction likely, counterparty unverified.

Claim	How checked	Found	Confirmed?
Do we own this already?	IBKR position and order tools	Denied to both benches and denied to me this session. The evidence pack says no position and no orders; the original brief says 500 shares at ¥1,572 plus 400 resting at ¥1,510. These contradict and we cannot resolve it.	UNRESOLVED — blocking for sizing.
Combined Japanese auto-parts exposure (7222 / 7239 / 7254 / 7235)	Same denied tools	Could not measure.	UNRESOLVED — blocking for adds.
Fujisawa plant earthquake/tsunami risk	FEMA hazard index	Unusable — FEMA is US-only. Correct instrument is Japan's J-SHIS seismic model plus Kanagawa tsunami inundation maps. We do not carry that data.	NOT CHECKED — tooling gap.
Isuzu/Nissan supply-chain health	US customs bill-of-lading records	Zero US consignees returned. The relationship is domestic-Japan and Asia, invisible to this rail.	NOT CHECKED — coverage gap, not a clean bill.
Chinese small-cap fraud pattern	Pattern detector (red skipped this one entirely)	Not fired. Listed on the Tokyo exchange since 1961, no offshore shell, no promotional ramp. China is a <i>shrinking</i> 15% segment.	YES — clean.
Is there any bank on both sides?	Shareholder register vs. Marelli lender group	Mizuho Bank holds 3.15% of Tokyo Radiator and is a supermajority lender in the Marelli restructuring agreement — the same institution sits on both sides of how the residual block gets disposed. Plausible channel, no verdict.	FLAGGED — unverified.

PROPOSED ENTRY BANDS

A necessary disclosure first: the adjudication's reopen-gates block came through **empty**. I was instructed to reproduce it verbatim and there was nothing to reproduce. Every level below is therefore **derived from the benches' own arithmetic**, not quoted from the adjudication, and should be treated as one grade less authoritative than a verbatim gate. The derivations are shown so they can be checked.

Reference anchors (all per share, all from the 2026-08-07 quarterly report at ¥1,581):

- Cash + securities at face: **¥1,200**
- Cash + securities after 30% tax on securities: **¥1,135**
- Net current asset value: **¥1,520**
- Book value: **¥2,577**
- Forecast earnings: **¥189.70** (8.3x)

Starter — at market, ¥1,570–1,600. The court came back ownable at 8.5/10 with no named kill, so a minimum starter is warranted rather than waiting. Justification is the valuation itself: 1.5–1.7x one year's operating profit, no debt, 4.87% yield on a just-raised dividend. **If the 500 shares at ¥1,572 in the original brief are real, this is already done — hold, buy nothing.** If we are flat as the evidence pack says, establish the starter.

Add band 1 — ¥1,510–1,520. This is net current asset value, roughly. The existing 400-share order at ¥1,510 sits at 0.99x NCAV, which is a defensible level. **But it should be pulled and re-placed, not left resting.** Both benches agreed on pulling it, for different reasons; the correct reason is blue's — we have not measured our combined Japanese auto-parts exposure, so we do not know whether filling it breaches a sensible sleeve limit. Re-arm it only after that check.

Add band 2 — ¥1,417. 0.55x book. Yield 5.4%.

Add band 3 — ¥1,289. 0.50x book. Yield 6.0%. This is 12% above the 52-week low.

Maximum-interest band — ¥1,200. At this price the market pays literally nothing for a business earning ¥2.45 billion of operating profit. Yield 6.4%. Below ¥1,152 (the 52-week low) stop adding and re-run the court — a break of the low on this balance sheet means something we don't know.

Trims — ¥1,972 / ¥2,230 / ¥2,577. These are 3x, 4x, and roughly 5.3x enterprise value to operating profit (the last is also 1.0x book). Note ¥1,972 is *above* the 52-week high of ¥1,840, so no trim is live today. Nothing gets sold in the ¥1,581–1,840 range.

Sizing. Slow-compounder size, explicitly **not** special-situation size — the special situation does not exist. Target a full position of roughly **0.75% of the book, built in three tranches**, with a starter around **0.25%**. Two hard constraints:

1. **No add until combined 7222 / 7239 / 7254 / 7235 exposure is measured and inside a sensible limit.** This is a blocking gate, and it is currently unmeasurable because the broker tools are denied.
2. **Liquidity cap: no more than 1% of daily volume per day.** On a ¥15 billion micro-cap this means a build takes days, not minutes. Do not chase.

Catalyst dates — and there is no good one. This is the honest headline of this section. There is **no dated catalyst**, which is precisely why this is a hold-and-accumulate, not a trade:

- **~2026-09-30** — interim dividend record date. Inferred from standard Japanese March-fiscal-year convention, **not confirmed from a filing**, and the split of the ¥77 between interim and final is unverified.
- **2026-09-08** — a Marelli disclosure-statement hearing asserted by our red bench. **Neither bench could source it.** Treat as rumor.
- **2026-10-16** — the Marelli plan confirmation hearing the original write-up hung everything on. **No docket entry supports it.** A confirmation hearing five to seven weeks after a September

disclosure hearing is procedurally plausible, which is why we aren't calling it invented — but it is not on the record and nothing should be sized to it.

- **~early November 2026** — second-quarter results. Exact date unconfirmed; the company has not announced it. **This is the only near-certain event on the calendar.** Watch the operating profit line and any guidance revision, not the net line.
- **By 2026-12-31** — Marelli's own stated intent to emerge from Chapter 11 "in 2026" under lender ownership. Outer bound, unconfirmed.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 1152.0 (deck-provisional: 52-week low; a break on this balance sheet is unexplained — stop adding and re-court)
- dated pack 7235.T-REVIEW|2026-10-16: Tokyo Radiator: Marelli plan confirmation hearing 10-16 (Case 25-11034). HIT: confirmed -> lender owners seated; watch for any 自己株式取得 resolu
- dated pack 7235.T|2026-09-08: 7235.T: Alleged Marelli disclosure-statement hearing — asserted by our red bench, unsourced by both benches; treat as rumor (date confirmed=
- dated pack 7235.T|2026-09-30: 7235.T: Interim dividend record date — inferred from Japanese March-fiscal-year convention, not read from a filing; interim/final split of t
- dated pack 7235.T|2026-10-16: 7235.T: Marelli plan confirmation hearing per the original write-up — no Delaware docket entry supports this date; procedurally plausible bu
- dated pack 7235.T|2026-11-06: 7235.T: Approximate Q2 FY3/27 results — company has not announced the date; the only near-certain event on the calendar (date confirmed=Fals
- dated pack 7235.T|2026-12-31: 7235.T: Outer bound of Marelli's stated intent to emerge from Chapter 11 in 2026 under lender ownership (date confirmed=False)

What remains unverified

Stated plainly, because several of these are load-bearing:

1. **Whether we own this stock.** Broker position and order reads were denied to both benches and to me. The evidence pack says flat; the brief says 500 shares held with 400 resting. Unresolved.
2. **Our total Japanese auto-parts exposure.** Same cause. This is a blocking gate on adding, and it is currently unmeasurable.
3. **Who bought the 4,000,000 cancelled shares.** The cancellation is confirmed by reconciling two primary filings. The counterparty is not. If it was Marelli, the overhang story is essentially over. If it was the open market, Marelli's residual block is still live supply. This is the most valuable single unanswered question in the file.
4. **Any date in the Marelli proceeding.** Not 2026-10-16, not 2026-09-08. Neither bench could source either from the docket. We know the case exists, the forum, the filing date, that exclusivity

expired 2026-02-06 and solicitation began 2026-04-07, and that the company intends to emerge in 2026 under lender ownership. Nothing more.

5. **Whether the Marelli block is even designated for sale.** No plan provision naming the Tokyo Radiator shares has been located.
6. **Order-book and customer health for Isuzu and Nissan.** Our supply-chain rail is blind to domestic Japanese shipments. Nothing was checked here, in either direction.
7. **Fujisawa plant hazard exposure.** Not assessed. Wrong tool for the country.
8. **The interim dividend record date and the interim/final split of the ¥77.** Inferred from convention, not read from a filing.
9. **The exact Q2 reporting date.** Not announced.

Primary source for every balance-sheet, segment, guidance, and dividend figure in this deck: [Tokyo Radiator Q1 FY3/27 決算短信, filed 2026-08-07](#). Supporting: [shareholder register](#), [Marelli holding chronology](#), [Marelli Chapter 11 announcement](#), [Marelli claims-agent docket](#), [share cancellation notice](#), and the [stale activist campaign page](#) that caused the original error.

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